



Mass General Brigham

Summary Audited Consolidated Financial Statements and Other Information

For the Period Ended September 30, 2025

Conduit Issuer: MassDevelopment Finance Agency

Obligor: Mass General Brigham (f/k/a Partners HealthCare System)

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Forward-Looking Statements

This disclosure contains certain “forward-looking statements” concerning financial and operating plans and results which involve known and unknown risks and uncertainties. In particular, statements preceded or followed by, or that include the words, “projects,” “believes,” “expects,” “estimates,” “anticipates,” “plans,” “intends,” “scheduled,” or similar expressions are forward-looking statements. Various factors could cause Mass General Brigham’ actual results to differ materially including, but not limited to the impact of the COVID-19 pandemic, federal and state regulation of healthcare providers, changes in reimbursement policies of state and federal government and managed care organizations, competition in the healthcare industry in our market, general economic and capital market conditions, and changes in our labor and supply costs and in our ability to retain personnel. For more information on these and other risk factors, please refer to our most recent bond official statement or annual disclosure statement filed on the Electronic Municipal Market Access (EMMA) website maintained by the Municipal Securities Rulemaking Board. We undertake no responsibility to update any such forward-looking statements except as expressly required by law.

Organization

Mass General Brigham Incorporated (the Company) is the parent organization and sole corporate member of numerous organizations whose financial conditions and operations are described in Management's Discussion and Analysis of Financial Performance and the consolidated financial statements that follow. The terms Mass General Brigham, system, we, our, or us as used herein, unless otherwise stated or indicated by context, refer collectively to the Company and its affiliated organizations.

Mass General Brigham operates academic medical centers, community acute care hospitals, inpatient and outpatient mental health services facilities, urgent care centers, facilities that provide rehabilitation medicine and long-term care services, physician organizations, home health services, nursing homes and a graduate level program for health professions. Our mission is to provide world class health care services to the local communities in which we operate as well as to patients across the United States and the world. In addition, we are a nonuniversity-based non-profit private medical research enterprise and a principal teaching affiliate of the medical and dental schools of Harvard University. Our licensed, not-for-profit managed care organization (Mass General Brigham Health Plan, Inc.) and licensed, for-profit insurance company (Mass General Brigham Health Insurance Company) (collectively referred to as Mass General Brigham Health Plan or the Health Plan) provide health insurance products and administrative services to the Massachusetts Medicaid program (MassHealth), Medicare Advantage program, ConnectorCare (a state subsidized program for adults who meet income and immigration guidelines) and commercial populations.

Strategic Initiatives

As an academic health care system, Mass General Brigham has a four-part mission: to provide exceptional patient care, to drive innovation through groundbreaking research and discovery; to educate the next generation of health care professionals; and to improve the health of the communities we serve.

To advance this mission, the organization undertook a wide range of initiatives in 2025, including:

- **Improving quality for every patient:** Mass General Brigham's unified patient care strategy, For Every Patient, continues to drive better outcomes, particularly in [inpatient mortality](#). Using national benchmark data from Vizient, the gold standard for hospital outcome reporting, Massachusetts General Hospital (MGH) and Brigham and Women's Hospital (BWH) are now among the top tier of academic medical centers for both overall quality and inpatient mortality. Additional progress has been made in reducing average length of stay, which helps the system improve throughput and patient access amidst and unrelenting capacity crisis. This progress is driven by MGB's transformation to become a [High Reliability Organization](#), where clinicians are empowered to make changes that enable improvements in outcomes. Validating this progress, five Mass General Brigham hospitals were once again named among the top hospitals in the nation by U.S. News & World Report.
- **Patient-facing institutes shaping the future of medicine:** Mass General Brigham has launched three disease-focused institutes in Cancer, Heart and Vascular, and Neuroscience, which are uniting clinical teams, empowering innovation, and enhancing patient access. [Mass General Brigham Cancer Institute](#) is accelerating progress by improving patient outcomes, building world-class spaces, and embracing a single identity, with a single front door for care. The [Heart and Vascular Institute](#) is uniting teams and improving care. For example, teams recently collapsed four call centers into one and created faster pathways to life-saving aortic care. The system also launched a process to build a [Neuroscience Institute](#), which is driving a strategy to unite neurology and neurosurgery care across the system.
- **Building world-class, patient-centered spaces:** Mass General Brigham announced major investments in next-generation inpatient care at its academic medical centers and community hospitals. A 100,000 sq. ft. [campus expansion](#) at Brigham and Women's Faulkner Hospital added 78 beds and additional MRI and endoscopy capabilities. A [\\$100 million gift](#) from the New Balance Foundation will support the construction of the New Balance Foundation Tower at the Phillip and Susan Ragon Building on the MGH campus. The tower will anchor world-class heart and vascular care and train future medical leaders. Mass General Brigham also announced the beginning of a process that will [transform its BWH campus](#) by replacing the aging Braunwald

building with a new complex care inpatient building. With these current and future upgrades, MGB will accelerate work to ensure care is delivered in the right setting, harnessing expertise at its academic medical centers, community hospitals, outpatient sites and Home Hospital.

- **Groundbreaking research and discovery:** This year, Mass General Brigham announced the formation of the Mass General Brigham Research Institute (MGBRI), a unified structure that will replace the BWH and MGH research institutes and support researchers across the system. MGBRI will strengthen clinical research, streamline operations, and amplify the impact of our world-class research community. This year, Mass General Brigham researchers launched [FaceAge](#), an AI technology that estimates biological age from facial images to help guide cancer treatment decisions and improve survival predictions. These efforts reflect our commitment to using technology to enhance care, protect vulnerable populations, and personalize treatment.
- **Building healthier communities:** Mass General Brigham strengthened its commitment to health equity through targeted investments and innovation. The inaugural [Kraft Prize for Excellence and Innovation in Community Health](#) honored ThriveLink, Mae, and Sober Sidekick for breakthrough solutions in safety-net access, maternal health, and addiction recovery. Simultaneously, a \$9 million investment through Community Health Impact Funds expanded food access across Greater Boston, supporting infrastructure and local partnerships. Together, these efforts reflect a systemwide strategy to address social determinants of health and improve outcomes.

Management's Discussion and Analysis of Financial Results

Fiscal Year 2025 Financial Results

Mass General Brigham reported income from operations of \$59 million for fiscal year 2025, which ended on September 30, 2025. In fiscal year 2024, the system reported income from operations of \$46 million. The 2025 results include a nonrecurring charge of \$53 million related to a strategic reorganization of management and administrative positions to improve efficiency and reduce the rate of expense growth. These actions, which are expected to yield annualized savings in excess of \$240 million, will support Mass General Brigham's ability to continue funding its mission. The system also

recognized \$54 million and \$118 million in revenue that pertains to prior year health care provider activity in 2025 and 2024, respectively. Excluding the non-recurring charge and prior year activity, Mass General Brigham generated income from operations of \$58 million (0.3% operating margin) in 2025 and a loss from operations of \$72 million in 2024 (-0.4% operating margin).

The system recognized total operating revenue of \$22.8 billion in 2025, an increase of \$2.3 billion (11%) over 2024. Patient care revenue grew to \$14.5 billion, an increase of \$1.0 billion (8%, inclusive of \$98 million in 2024 from the Centers for Medicare & Medicaid Services to partially remedy underpayments for 340B-acquired pharmaceuticals in 2018-2022). Ongoing efforts to coordinate systemwide capacity management resulted in an average acute care inpatient length of stay of 5.9 days, a 1.5% decline from 2024, and contributed to growth in discharges (3%). Robust outpatient activity also contributed to revenue growth.

Premium revenue increased \$367 million (17%) to \$2.5 billion. The Health Plan's fully insured membership increased by 14,734 (6%), as growth in fully insured commercial (12,667 or 14%) and Medicare Advantage (5,050 or 180%) members more than offset a reduction in MassHealth members (-2,983 or -2%). As of September 30, 2025, the Health Plan had 405,028 total members (including 151,882 self-insured members), with approximately 26% in commercial fully-insured plans, 35% in managed Medicaid, 37% in self-insured plans (including 118,541 Mass General Brigham employees and family members) and 2% in Medicare plans.

Research and nonresearch sundry revenue increased \$140 million (5%) to \$3.0 billion. Other revenue increased \$710 million (35%) to \$2.7 billion, inclusive of government transfers to mitigate losses incurred during the COVID-19 pandemic of \$54 million and \$20 million in FY25 and FY24, respectively.

Operating expenses totaled \$22.7 billion, an increase of \$2.2 billion (11%) over 2024. Wages and benefits increased \$858 million (8%), reflecting patient utilization trends, inflationary pressure on wages, higher health benefit utilization and the \$53 million restructuring charge. Supplies and other expenses increased \$985 million (18%) to \$6.5 billion, reflecting increased costs and use of pharmaceutical (\$540 million or 29%) and other clinical (\$181 million or 16%) supplies.

Health Plan medical claims increased \$314 million (21%) to \$1.8 billion and the medical loss ratio (the percentage of insurance premiums that were used to pay medical claims) increased to 96.1% from 93.3% in 2024. The increase in the medical loss ratio is attributable to higher care acuity and increased pharmaceutical costs, including GLP-1s, that outpaced revenue especially in government programs. The administrative expense ratio (the percentage of insurance premiums that were used to pay general and administrative expenses) was 6.6% in 2025 and 6.7% in 2024.

In 2025, the system absorbed \$1.0 billion in Medicaid and Health Safety Net shortfalls due to certain government reimbursements that do not cover the full cost of providing care to low-income and uninsured patients, an increase of \$141 million (16%) over 2024. Mass General Brigham also invested approximately \$700 million to support its community health (\$210 million), research (\$190 million) and education (\$300 million) programs. Collectively, these mission-related initiatives comprised approximately 7% of Mass General Brigham's total operating revenue.

Management continues to focus on initiatives that can drive sustained performance improvement, including patient care throughput and labor management efficiencies, and monitoring emerging federal actions and developing action plans to mitigate potential financial impacts.

Depreciation and interest expense totaled \$957 million and \$954 million in 2025 and 2024, respectively. In 2025 and 2024, operating cash flow (operating income before interest expense, depreciation and amortization, exclusive of the nonrecurring charge and prior year activity), totaled \$1.0 billion (4.5% cash flow margin) and \$881 million (4.3% cash flow margin), and capital expenditures totaled \$1.2 billion and \$1.5 billion, respectively.

The system reported an overall gain of \$2.4 billion in 2025, including a nonoperating gain of \$2.3 billion. Nonoperating activity includes gains and losses on investments and interest rate swaps, which can vary significantly year-to-year due to volatility in the financial markets, and philanthropic activity. In 2024 the system reported an overall gain of \$2.0 billion, including a nonoperating gain of \$2.0 billion.

Fourth Quarter Fiscal Year 2025 Financial Results

For the three months ended September 30, 2025, the system reported income from operations of \$103 million. This includes the recognition of \$54 million in grants from the federal government to mitigate losses incurred during the COVID-19 pandemic that were deferred pending audit. Excluding the prior year revenue, the system generated operating income of \$49 million (0.8% operating margin). For the three months ended September 30, 2024, the system reported a loss from operations of \$113 million (-2.2% operating margin).

Total operating revenue increased \$699 million (13%, excluding \$54 million prior year revenue) to \$5.9 billion. This reflects increases in net patient service revenue (\$433 million, 13%), premium revenue (\$130 million, 23%), research and academic revenue (\$24 million, 3%) and other revenue (\$113 million or 19%, excluding \$54 million prior year revenue).

Total operating expenses increased \$537 million (10%) to \$5.9 billion, reflecting increases in wages and benefits (\$202 million, 8%), supplies and other expenses (\$237 million or 16%, of which \$139 million pertains to pharmaceuticals) and medical claims (\$83 million, 20%).

For the three months ended September 30, 2025 and 2024, depreciation and interest expense totaled \$250 million. Operating cash flow (operating income before interest expense, depreciation and amortization and excluding prior year revenue), totaled \$300 million (5.1% cash flow margin) and \$137 million (2.6% cash flow margin), and capital expenditures totaled \$273 million and \$409 million, respectively.

The system reported an overall gain of \$1.1 billion for the three months ended September 30, 2025, including a nonoperating gain of \$959 million. In the comparable prior year period the system reported an overall gain of \$384 million, including a nonoperating gain of \$496 million.

Mass General Brigham and Affiliates
Consolidated Balance Sheets
(In Thousands)

	<u>September 30, 2025</u>	<u>September 30, 2024</u>
ASSETS		
Current assets		
Cash and equivalents	\$ 529,648	\$ 105,924
Investments	4,660,478	4,479,974
Current portion of investments limited as to use	3,364,140	3,651,727
Patient accounts receivable, net	1,774,269	1,731,496
Research grants receivable, net	429,227	248,415
Other current assets	1,390,446	1,205,371
Total current assets	<u>12,148,208</u>	<u>11,422,907</u>
Investments limited as to use, less current portion	7,404,116	6,443,033
Long-term investments	3,941,173	3,138,592
Property and equipment, net	7,829,880	7,471,740
Right-of-use operating lease assets	801,815	920,702
Other assets	3,703,237	2,360,443
Total assets	<u>\$ 35,828,429</u>	<u>\$ 31,757,417</u>
LIABILITIES AND NET ASSETS		
Current liabilities		
Current portion of long-term obligations	\$ 448,435	\$ 353,249
Accounts payable and accrued expenses	1,276,076	1,426,104
Accrued medical claims and related expenses	215,581	258,520
Accrued employee compensation and benefits	1,414,617	1,281,714
Current portion of operating lease obligations	155,897	203,879
Unexpended funds on research grants	469,114	369,851
Total current liabilities	<u>3,979,720</u>	<u>3,893,317</u>
Other liabilities		
Accrued professional liability	594,421	573,796
Accrued employee benefits	990,808	891,868
Interest rate swaps liability	85,312	139,170
Accrued other	421,081	463,907
Operating lease obligations, less current portion	545,738	598,065
Long-term obligations, less current portion	5,599,780	5,837,579
Total liabilities	<u>12,216,860</u>	<u>12,397,702</u>
Commitments and contingencies		
Net assets		
Net assets without donor restrictions	18,874,645	15,306,802
Noncontrolling ownership interests in subsidiaries	93,653	106,788
Total net assets without donor restrictions	<u>18,968,298</u>	<u>15,413,590</u>
With donor restrictions	4,643,271	3,946,125
Total net assets	<u>23,611,569</u>	<u>19,359,715</u>
Total liabilities and net assets	<u>\$ 35,828,429</u>	<u>\$ 31,757,417</u>

Mass General Brigham and Affiliates
Consolidated Statements of Operations
(In Thousands)

	Fourth Quarter Ended September 30,		Twelve Months Ended September 30,	
	2025	2024	2025	2024
Operating revenues				
Net patient service revenue	\$ 3,746,405	\$ 3,313,717	\$14,480,064	\$ 13,439,956
Premium revenue	685,770	555,905	2,537,401	2,169,968
Direct research and nonresearch sundry revenue	603,400	588,940	2,324,147	2,240,832
Indirect research and nonresearch sundry revenue	181,175	172,079	716,296	659,918
Other revenue	756,421	589,682	2,749,861	2,039,604
Total operating revenues	5,973,171	5,220,323	22,807,769	20,550,278
Operating expenses				
Employee compensation and benefit expenses	2,826,298	2,624,354	11,122,914	10,264,778
Supplies and other expenses	1,689,053	1,452,465	6,524,901	5,540,276
Medical claims and related expenses	500,834	417,658	1,819,473	1,505,038
Direct research and nonresearch sundry expenses	603,400	588,940	2,324,147	2,240,832
Depreciation and amortization expenses	206,881	200,906	791,752	778,337
Interest expense	43,344	48,789	165,406	175,279
Total operating expenses	5,869,810	5,333,112	22,748,593	20,504,540
Income (loss) from operations	103,361	(112,789)	59,176	45,738
Nonoperating gains (loss)				
Income from investments	918,974	466,995	1,751,132	1,950,070
Change in fair value of interest rate swaps	100	(52,562)	84,167	(84,228)
Other nonoperating expenses	(62,406)	(3,057)	(3,512)	(38,624)
Net research and nonresearch sundry gifts net of spending	41,345	29,219	257,903	(48,187)
Nonservice related pension income	61,020	55,727	236,776	222,910
Total nonoperating gains, net	959,033	496,322	2,326,466	2,001,941
Excess of revenues over expenses	1,062,394	383,533	2,385,642	2,047,679
Other changes in net assets				
Funds utilized for property and equipment	(77,291)	47,476	36,549	434,073
Change in funded status of defined benefit plans	1,135,994	(445,729)	1,135,994	(445,729)
Other changes in net assets	80,462	1,752	(3,477)	15,122
Increase (decrease) in net assets without donor restrictions	\$ 2,201,559	\$ (12,968)	\$ 3,554,708	\$ 2,051,145

Mass General Brigham and Affiliates
Consolidated Statements of Cash Flows
(In Thousands)

	Twelve Months Ended September 30,	
	2025	2024
Cash flows from operating activities:		
Change in net assets	\$ 4,251,854	\$ 2,258,114
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Change in funded status of defined benefit plans	(1,135,994)	445,729
Change in fair value of interest rate swaps	(84,167)	84,228
Depreciation and amortization	791,752	778,337
Amortization of bond discount, premium and issuance costs	(17,862)	(11,164)
(Gain) loss on disposal of property	(3,636)	324
Gain on refunding of debt	-	(7,010)
Change in right-of-use operating lease assets	178,045	120,409
Net realized and unrealized change in investments	(2,407,738)	(2,570,863)
Donor restricted contributions and investment income	(428,885)	(292,309)
Cash premium received upon issuance of bonds	-	34,049
Increases (decreases) in cash resulting from a change in		
Patient accounts receivable	(42,773)	(93,190)
Other assets	(498,881)	(371,302)
Accounts payable and other accrued expenses	166,265	378,627
Accrued medical claims and related expenses	(42,939)	66,085
Operating lease obligations	(159,467)	(119,242)
Settlements with third-party payers	(52,882)	185,245
Net cash provided by operating activities	512,692	886,067
Cash flows from investing activities:		
Purchases of property and equipment	(1,174,376)	(1,492,907)
Proceeds from sale of property	4,329	1,392
Net sales (purchases) of investments	751,157	(84,593)
Net cash used for investing activities	(418,890)	(1,576,108)
Cash flows from financing activities:		
Borrowings under lines of credit	625,000	270,000
Repayments of borrowings under lines of credit	(625,000)	(270,000)
Borrowings under taxable commercial paper	171,842	-
Repayments of borrowings under taxable commercial paper	(109,907)	(119,870)
Payments on long-term obligations	(124,751)	(110,891)
Proceeds from long-term obligations	-	524,802
Deposits into refunding trusts	(61,935)	(69,844)
Net gain on interest rate swap terminations	25,788	-
Donor restricted contributions and investment income	428,885	292,309
Net cash provided by financing activities	329,922	516,506
Net increase (decrease) in cash and equivalents	423,724	(173,535)
Cash and equivalents at beginning of period	105,924	279,459
Cash and equivalents at end of period	\$ 529,648	\$ 105,924
Noncash purchases of property and equipment in accounts payable and accrued expenses	\$ 86,288	\$ 110,631

Notes to Consolidated Financial Statements
(In Thousands)

1. The accompanying consolidated quarterly financial statements have been prepared on the accrual basis of accounting and include the accounts of the Company and its affiliates. The financial statements do not include all the information and footnote disclosures required by generally accepted accounting principles. These statements should be read in conjunction with the Company's audited consolidated financial statements for the fiscal year ended September 30, 2025.

The consolidated quarterly financial statements are unaudited. These statements include all adjustments (consisting of normal recurring accruals) considered necessary by management to present a fair statement of the results of operations, financial position and cash flows. The results reported in these consolidated financial statements should not be regarded as necessarily indicative of results that may be expected for the entire year.

2. Income from investments (including realized gains and losses, unrealized change in value of investments, interest, dividends and endowment income distributions) is included in excess of revenues over expenses unless the income or loss is restricted by donor or law. Income from investments is reported net of investment-related expenses.
3. We recognize changes in third-party payer settlements and other estimates in the year of the change in estimate. For the three months ended September 30, 2025 and 2024, adjustments to prior year estimates resulted in an increase (decrease) to net patient service revenue of \$16,159 and (\$11,255), respectively. For the twelve months ended September 30, 2025 and 2024, adjustments to prior year estimates resulted in an increase to net patient service revenue of \$45,711 and \$120,290, respectively.
4. Risk-based capital (RBC) is a methodology adopted by the National Association of Insurance Commissioners for determining the minimum level of capital and surplus deemed necessary for an insurer based upon the types of assets held and business written. The Company has guaranteed to the Massachusetts Division of Insurance (DOI) (the RBC Guaranty) to maintain the Mass General Brigham Health Plan, Inc.'s and Mass General Brigham Health Insurance Company's capital and surplus at a specified minimum level, measured quarterly in accordance with an RBC methodology permitted by DOI. The RBC Guaranty may be enforced by the DOI. For the twelve months ended September 30, 2025 and 2024, the Company provided capital to Mass General Brigham Health Plan Holding Company, Inc. of \$75,000 and \$0, respectively.
5. The current portion of long-term obligations includes payments scheduled to be made over the next twelve months of \$155,565, bonds supported by self-liquidity that can be tendered prior to September 30, 2026 of \$230,370 and bonds supported by bank facilities with financial institutions (standby bond purchase agreements or letters of credit) that expire prior to September 30, 2026 of \$62,500. The bonds supported by self-liquidity provide the bondholder with an option to tender the bonds to the Company. Accordingly, these bonds are classified as a current liability. The bonds supported by bank facilities provide the bondholder with an option to tender the bonds to the liquidity provider. Generally accepted accounting principles require bonds backed by bank facilities expiring within one year of the balance sheet date as well as potential principal amortization under bank facilities' term out provisions due within one year of the balance sheet date to be classified as a current liability.
6. The Company maintains two lines of credit aggregating \$375,000 that provide access to same day funds. Advances under the lines of credit bear a variable rate of interest based on the Secured Overnight Financing Rate (SOFR). As of September 30, 2025 and 2024, there were no amounts outstanding under the lines of credit. The \$250,000 line of credit expires in July 2028. The \$125,000 line of credit expires in July 2027.

The Company maintains a \$500,000 Taxable Commercial Paper (CP) program. As of September 30, 2025 and 2024, there was \$61,935 and \$0, respectively, outstanding under the CP Program.

Notes to Consolidated Financial Statements
(In Thousands)

7. In December 2023, we issued \$69,870 of Mass General Brigham Series 2023 C Revenue Bonds. The bond proceeds were used to refund Taxable Commercial Paper Notes that refinanced, on an interim basis, Partners HealthCare System Series 2017 S-3 Revenue Bonds.

In January 2024, we issued \$309,185 of Mass General Brigham Series 2024 D Revenue Bonds, plus bond premium of \$34,049. The bond proceeds, net of issuance costs of \$2,594, were used to refund Partners HealthCare System Series 2017 S-4 Bonds (\$69,481) and to finance certain capital projects (\$271,158).

In January 2024, we issued \$150,000 of Mass General Brigham Series 2024 E Revenue Bonds. The bond proceeds, net of issuance costs of \$1,659, were used to refund Taxable Commercial Paper Notes (\$50,000) that refinanced, on an interim basis, Partners HealthCare System Series 2016 R-2 Revenue Bonds, and to finance certain capital projects (\$98,341).

8. We lease property and equipment under both finance and operating lease agreements. We recognize leases with a term greater than twelve months on the balance sheets.

Some lease agreements require us to pay variable costs including property taxes, insurance, maintenance and repairs. Variable costs are excluded from the right-of-use assets and liability. Lease and nonlease components of agreements are not separated. Some leases contain rental escalation clauses and renewal options that are included in lease payment calculations when appropriate. The estimated incremental borrowing rate is used to discount the lease payment amounts. All operating and finance leases have a weighted discount rate of 4.07%.

The components of lease expense consist of the following for the twelve months ending September 30, 2025:

	Supplies and Other Expenses	Academic and Research Gifts, Net of Expenses	Total
Operating lease expense	\$ 206,602	\$ 2,064	\$ 208,666
Short-term lease expense	13,379	181	13,560
Variable lease expense	77,139	1,416	78,555
Finance lease expense			
Amortization of lease assets	17,158	179	17,337
Interest on lease liabilities	3,705	28	3,733
Total lease expense	<u>\$ 317,983</u>	<u>\$ 3,868</u>	<u>\$ 321,851</u>

Lease related assets and liabilities are as follows at:

	Balance Sheet Classification	September 30, 2025
Operating lease assets	Right-of-use operation lease assets	\$ 801,815
Finance lease assets	Property and equipment, net	70,368
Total lease assets		<u>\$ 872,183</u>
Current operating lease liability	Current portion of operating lease obligations	\$ 155,897
Current finance lease liability	Accounts payable and accrued expenses	14,355
Noncurrent operating lease liability	Operating lease obligations, less current portion	545,738
Noncurrent finance lease liability	Accrued other	62,579
Total lease liabilities		<u>\$ 778,569</u>

Commitments related to noncancelable operating and finance leases for each of the next five years and thereafter are as follows:

	Operating Leases	Finance Leases
2026	\$ 186,072	\$ 16,148
2027	153,772	9,298
2028	130,837	6,672
2029	80,205	4,211
2030	52,441	3,616
Thereafter	171,595	111,303
Total minimum future payments	<u>\$ 774,922</u>	<u>\$ 151,248</u>

Notes to Consolidated Financial Statements
(In Thousands)

9 COVID-19 Pandemic and Government Funding

On March 11, 2020, the World Health Organization designated COVID-19 as a global pandemic resulting in an extraordinary impact to Mass General Brigham. During certain periods since 2020, the COVID-19 pandemic has continued to impact patient activity and operating expenses. In response to COVID-19, various types of economic support was enacted by federal, state and local authorities to mitigate the financial impact, with the most significant impacts to Mass General Brigham in 2025 and 2024 summarized below.

Provider Relief Funds (PRF)

We received PRF in 2020 and 2021 that was used to prevent, prepare for and respond to COVID-19. As of September 30, 2025 and September 30, 2024, we have deferred \$32,487 and \$86,487, respectively, of PRF received.

Federal Emergency Management Agency Funding (FEMA)

We submitted applications to FEMA for the reimbursement of COVID-19 expenses and recognized grant revenue totaling \$0 and \$19,699 for the twelve months ended September 30, 2025 and 2024, respectively, as other operating revenue in the consolidated statements of operations. As of September 30, 2025 and September 30 2024, we have deferred \$53,367 and \$54,792, respectively, of FEMA payments received.

MASS GENERAL BRIGHAM: ACUTE CARE SECTOR ⁽¹⁾
UTILIZATION STATISTICS

	Fourth Quarter Ended September 30,		Twelve Months Ended September 30,	
	2025	2024	2025	2024
INPATIENT:				
Discharges	44,936	42,945	177,074	171,543
% Change	4.6%		3.2%	
Discharge Days	263,604	258,252	1,047,933	1,030,957
% Change	2.1%		1.6%	
Average Length of Stay (Days)	5.87	6.01	5.92	6.01
% Change	-2.3%		-1.5%	
Patient Days	248,060	243,393	987,645	977,738
% Change	1.9%		1.0%	
Births	5,128	4,930	19,244	18,785
% Change	4.0%		2.4%	
HEALTHCARE AT HOME:				
Home Discharges	978	738	3,603	2,386
% Change	32.5%		51.0%	
Home Discharge Days	6,234	5,343	23,983	17,317
% Change	16.7%		38.5%	
OUTPATIENT:				
ATO's	7,290	6,641	26,777	24,944
% Change	9.8%		7.3%	
ED Observations	6,744	6,563	25,863	27,833
% Change	2.8%		-7.1%	
Day Surgery	31,229	29,616	126,073	121,054
% Change	5.4%		4.1%	
Ambulatory visits	615,986	588,933	2,469,128	2,366,863
% Change	4.6%		4.3%	
ER Visits	128,237	122,973	489,830	469,048
% Change	4.3%		4.4%	
Procedures	514,039	574,336	2,178,696	2,220,624
% Change	-10.5%		-1.9%	
Major Imaging	170,781	158,007	652,685	602,934
% Change	8.1%		8.3%	
Minor Imaging	375,447	358,872	1,475,799	1,416,429
% Change	4.6%		4.2%	
Treatments	329,344	315,676	1,239,571	1,216,811
% Change	4.3%		1.9%	
Therapies	452,045	419,245	1,788,690	1,662,236
% Change	7.8%		7.6%	
Lab Services	3,545,739	3,322,778	13,914,824	13,234,705
% Change	6.7%		5.1%	
Urgent Care ⁽²⁾	34,274	36,131	143,614	154,482
% Change	-5.1%		-7.0%	
CASE MIX INDEX (CMI) ⁽³⁾:				
Combined Academic (The General & BWH)	2.27	2.22	2.29	2.23
	2.3%		2.7%	
Combined Community (BWFH, Salem & NWH)	1.30	1.27	1.30	1.26
	2.4%		3.2%	

⁽¹⁾ Includes data from The General, BWH, BWFH, Salem, NWH, Cooley Dickinson, Nantucket, Martha's Vineyard, Wentworth-Douglass, Mass Eye and Ear and Mass General Brigham Medical Group.

⁽²⁾ Includes data for Mass General Brigham Urgent Care.

⁽³⁾ CMI based on APR-DRG version 34, NY weight.

**MASS GENERAL BRIGHAM:
REHABILITATION & PSYCHIATRIC CARE SECTORS
UTILIZATION STATISTICS**

	Fourth Quarter Ended September 30,		Twelve Months Ended September 30,	
	2025	2024	2025	2024
REHABILITATION				
Inpatient:				
Discharges	1,395	1,257	5,324	4,896
% Change	11.0%		8.7%	
Discharge Days	26,043	26,497	100,847	100,074
% Change	-1.7%		0.8%	
Average Length of Stay (Days)	18.67	21.08	18.94	20.44
% Change	-11.4%		-7.3%	
Patient Days	26,030	25,032	100,857	97,558
% Change	4.0%		3.4%	
Outpatient:				
Home Health	128,829	110,572	522,367	451,425
% Change	16.5%		15.7%	
Therapies	361,481	328,135	1,452,937	1,256,066
% Change	10.2%		15.7%	

Note: Rehabilitation sector includes Spaulding Boston, Spaulding Cambridge, Spaulding Cape Cod and Mass General Brigham Home Care.

PSYCHIATRIC

Inpatient:				
Discharges	1,810	1,539	6,774	6,322
% Change	17.6%		7.1%	
Discharge Days	23,970	26,109	99,141	97,630
% Change	-8.2%		1.5%	
Average Length of Stay (Days)	13.24	16.96	14.64	15.44
% Change	-21.9%		-5.2%	
Patient Days	24,563	24,847	98,601	99,755
% Change	-1.1%		-1.2%	
Outpatient:				
Psychiatric Services	38,486	33,484	150,525	136,888
% Change	14.9%		10.0%	

**MASS GENERAL BRIGHAM: INSURANCE SECTOR
STATISTICS**

	Fourth Quarter Ended September 30,		Twelve Months Ended September 30,	
	2025	2024	2025	2024
Medical loss ratio	96.7%	93.4%	96.1%	93.3%
% Change	3.3%		2.8%	
Administrative expense ratio	6.3%	7.4%	6.6%	6.7%
% Change	-1.1%		-0.1%	
Total members	405,028	387,488	405,028	387,488
% Change	4.5%		4.5%	

Statistic	Definition
Discharges	The total number of patients discharged from a hospital bed in a given time period
Discharge Days	The total number of days each discharged patient occupied a bed during the duration of their hospital stay
Average Length of Stay	Patient days divided by the number of patient discharges
Patient Days	Total number of days a patient occupied a hospital bed in a given time period
ATO's	Patients admitted under observation status and generally discharged within 24 hours
ED Observations	Patients admitted under observation status in the ER (at GH and BWH) and generally discharged within 24 hours
Day Surgery	Surgical procedures performed on an outpatient basis
Ambulatory visits	Includes office/outpatient services, consults, preventive medicine and psychiatric visit - clinic O/P
ER Visits	Emergency room visits
Procedures	Includes integumentary, musculoskeletal, oral & maxillofacial surg, respiratory, cardiovascular, hemic/lymphatic, mediastinum/disphragm, digestive, urinary, female/male genital, endocrine, nervous system, eye/ocular adnexa and auditory
Major Imaging	Includes MRI, CT Scan, nuclear medicine and PET Scan
Minor Imaging	Includes radiology diagnostic, ultrasound, breast imaging and 3D reconstruction
Treatments	Includes chemotherapy, radiation therapy, non chemo infusions, dialysis, electroconvulsive therapy and dental
Therapies	Includes respiratory/pulmonary therapy, physical therapy, occupational therapy, speech language pathology, cardiac rehabilitation and nutrition
Lab Services	Lab services
Home Health	Nurse visits, aide visits, physical therapy, occupational therapy, speech-language pathology, registered dietician, medical social work, telemedicine and private duty converted hours
Psychiatric Services	Includes partial days, ART days, individual therapy, group therapy, family therapy, child and adolescent days and other therapies
Case Mix Index	The average diagnosis-related-group weight for all of a hospital's inpatient volume
Medical Loss Ratio	Medical expense as a percentage of premium revenue

MASS GENERAL BRIGHAM: INVESTMENT LIQUIDITY & DEBT BACKED BY SELF LIQUIDITY
as of September 30, 2025
(In Thousands)

INVESTMENT LIQUIDITY⁽¹⁾

Investment Pool	Funds Available						Total
	Same Day	1 Week	1 Month	3 Months	1 Year	>1 Year	
Money Market	\$426,548	-	-	-	-	-	\$426,548
Aggregate Bond	419,423	3,044	-	-	-	-	422,467
Long Term	1,162,871	419,308	2,077,049	4,545,516	1,440,366	7,764,339	17,409,449
Total	\$2,008,842	\$422,352	\$2,077,049	\$4,545,516	\$1,440,366	\$7,764,339	\$18,258,464
Cumulative Total	\$2,008,842	\$2,431,194	\$4,508,243	\$9,053,759	\$10,494,125	\$18,258,464	

DEBT BACKED BY SELF LIQUIDITY

Debt Mode	Funds Required						Total
	Same Day	1 Week	1 Month	3 Months	1 Year	>1 Year	
Flexible Rate ⁽²⁾	-	\$19,585	\$12,640	\$104,135	\$14,010	-	\$150,370
Index Floating Rate	-	-	-	-	80,000	178,980	258,980
Term Rate	-	-	-	-	-	76,020	76,020
Total	-	\$19,585	\$12,640	\$104,135	\$94,010	\$255,000	\$485,370
Cumulative Total	-	\$19,585	\$32,225	\$136,360	\$230,370	\$485,370	

⁽¹⁾ Excludes ERISA.

⁽²⁾ Mass General Brigham limits daily maturities on its flexible rate bonds to \$20 million.



Mass General Brigham

Money Market Pool

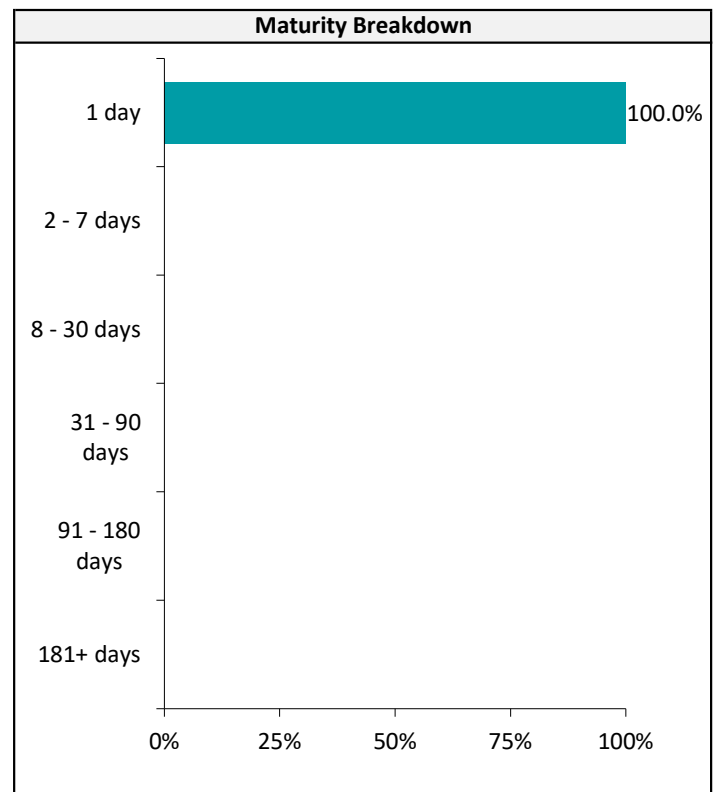
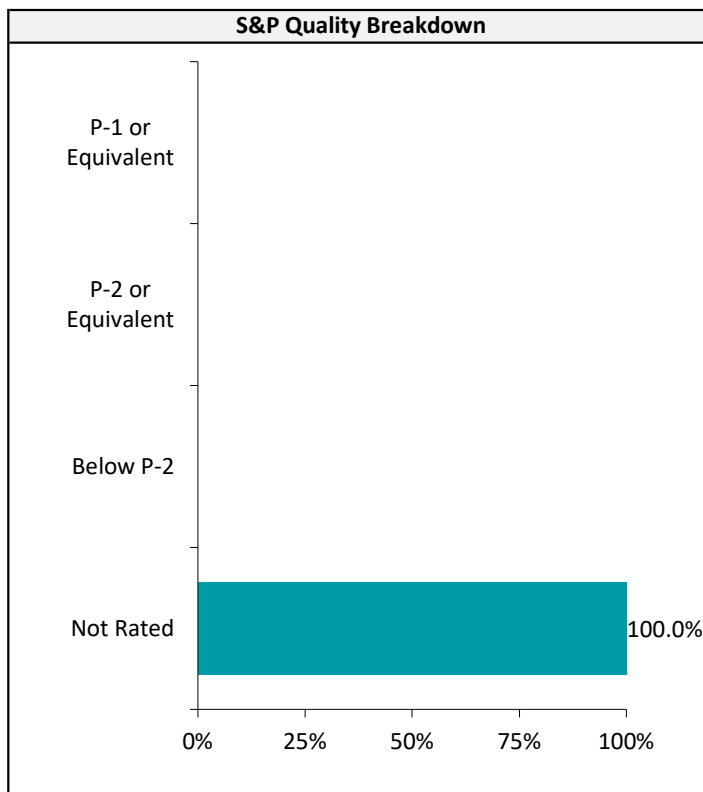
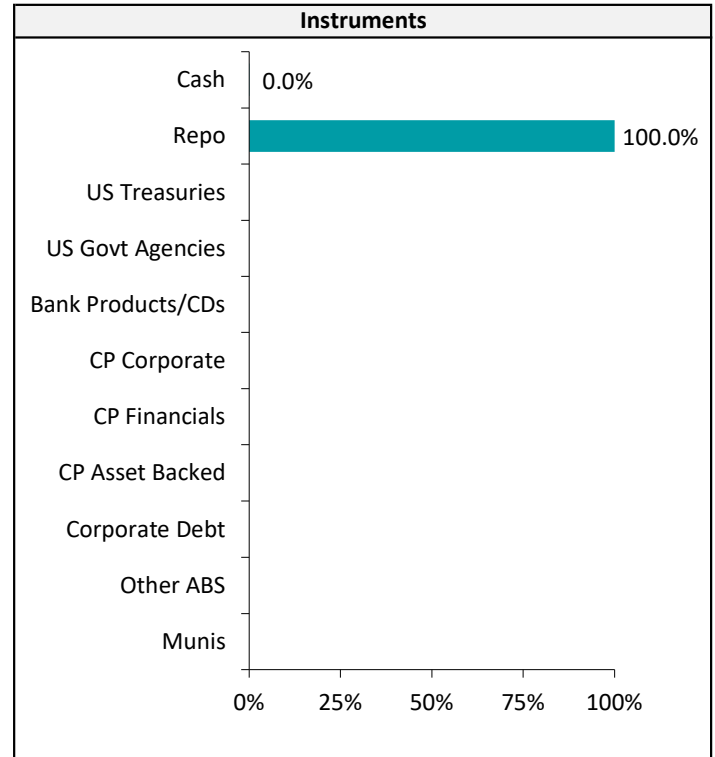
9/30/2025

Portfolio Manager **Wellington Management Co. - Matthew House**
 Benchmark iMoneyNet Money Market Fund Average/All Taxable

Characteristics	Portfolio	Benchmark
Market Value (\$000)	\$ 426,548	n/a
Avg Rating	0	P-1
Avg Maturity (Days)	1.0	n/a
Avg Life (Days)	1.0	n/a
Yield to Worst	4.20%	n/a
Daily Liquidity (%)	99.98%	n/a
Weekly Liquidity (%)	99.98%	n/a
144A Securities (%)	0.00%	n/a
Floating Rate (%)	0.00%	n/a

Net Asset Value	1.00
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Returns	Portfolio	Benchmark	Relative
Month	0.36%	0.32%	+ 0.03%
Quarter	1.09%	0.99%	+ 0.11%
FYTD	4.23%	4.15%	+ 0.07%
CYTD	3.04%	3.01%	+ 0.03%
<u>Annualized</u>			
1 Year	4.23%	4.15%	+ 0.07%
3 Year	4.78%	4.54%	+ 0.24%
5 Year	2.95%	2.81%	+ 0.14%
Inception (12/31/94)	2.65%	2.26%	+ 0.39%





Mass General Brigham

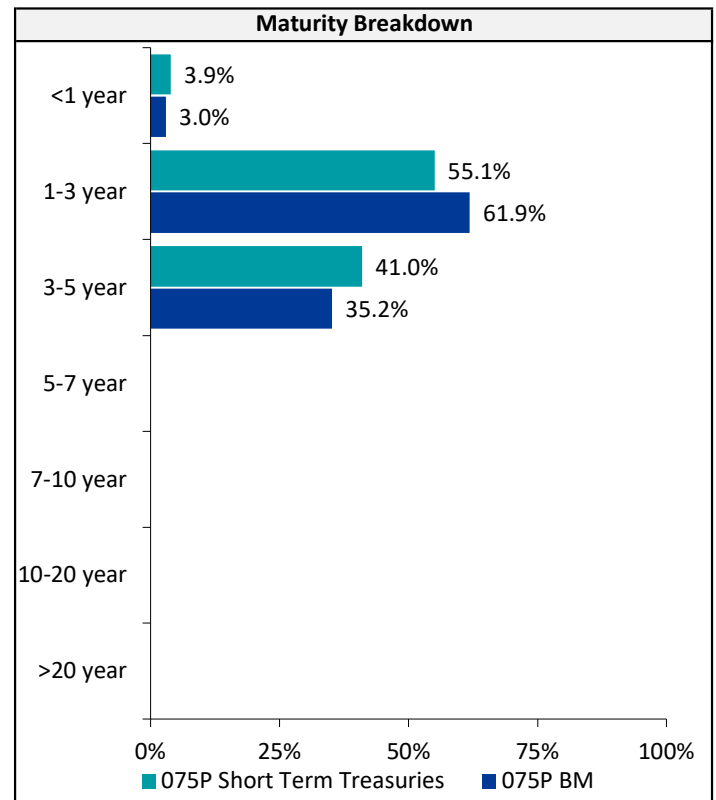
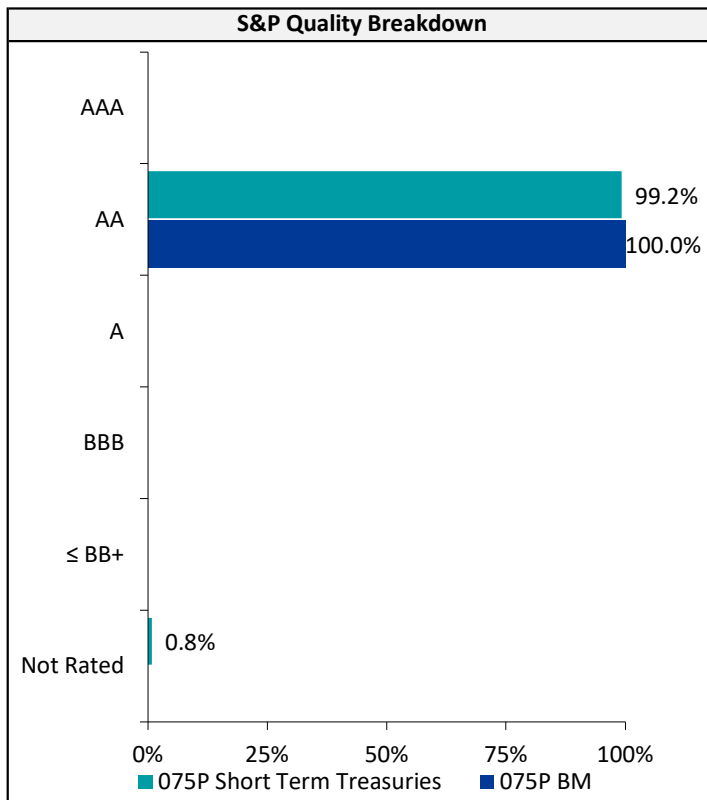
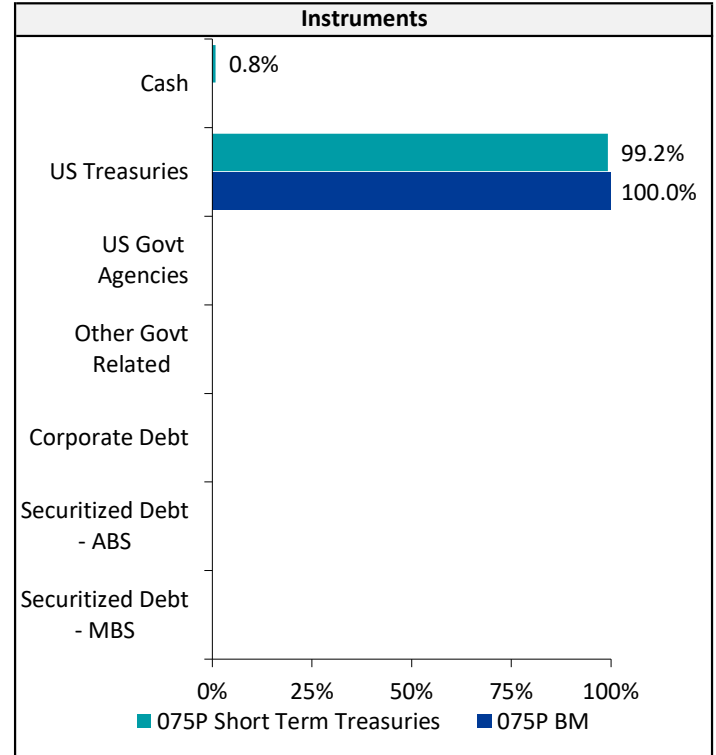
Short Term Treasury Fund

9/30/2025

Portfolio Manager **Congress Asset Management - Jeff Porter**
Benchmark **Barc. US Treas 1-5 yr**

	Portfolio	Benchmark
Market Value (\$000)	\$ 109,036	n/a
# Issues	19	155
Avg Coupon	3.41%	3.10%
Avg Rating	AA+	AA+
Avg Maturity	2.82	2.71
Avg Yield	3.66%	3.66%
Avg Mod. Duration	2.61	2.61
Avg. Convexity	0.09	0.09

Returns	Portfolio	Benchmark	Relative
Month	0.21%	0.23%	- 0.02%
Quarter	1.10%	1.14%	- 0.04%
FYTD	3.58%	3.77%	- 0.19%
CYTD	4.51%	4.64%	- 0.12%
<u>Annualized</u>			
1 Year	3.58%	3.77%	- 0.19%
3 Year	4.27%	4.42%	- 0.15%
5 Year	0.96%	1.05%	- 0.09%
Inception (4/1/14)	1.63%	1.64%	- 0.01%



Mass General Brigham
Intermediate Domestic Bond Fund
 9/30/2025

Portfolio Manager **Congress Asset Management - Jeff Porter**
 Benchmark **Barc. Intermediate US Govt/Credit**

	Portfolio	Benchmark
Market Value (\$000)	\$ 310,369	n/a
# Issues	40	6,381
Avg Coupon	3.66%	3.57%
Avg Rating	AA/AA-	AA/AA-
Avg Maturity	4.81	4.19
Avg Yield	4.01%	3.96%
Avg Mod. Duration	3.77	3.68
Avg. Convexity	0.23	0.21

Returns	Portfolio	Benchmark	Relative
Month	0.38%	0.42%	- 0.04%
Quarter	1.42%	1.51%	- 0.09%
FYTD	3.78%	4.01%	- 0.23%
CYTD	5.59%	5.70%	- 0.12%
<u>Annualized</u>			
1 Year	3.78%	4.01%	- 0.23%
3 Year	4.82%	5.18%	- 0.36%
5 Year	0.70%	0.81%	- 0.11%
Inception (5/31/02)	3.65%	3.35%	+ 0.30%

